

CONFIDENTIAL

Digital Commerce Transformation

Strategic Assessment & Implementation Roadmap

Prepared for Meridian Retail Group | February 2026

Strategy & Operations Practice

Agenda

Four workstreams structured around a hypothesis-driven approach

01

Situation Assessment

Current state, customer segments, digital maturity, competitive position

Slides 3-8

02

Opportunity Analysis

Revenue by channel, customer journey, SKU demand, cross-sell potential

Slides 9-13

03

Strategic Recommendation

Options assessment, roadmap, technology, organization design

Slides 14-19

04

Financial Case

Investment, projections, sensitivity, risk mitigation, next steps

Slides 20-25

SECTION 01

Situation Assessment

Understanding Meridian's current position, customer base, and competitive landscape

Executive Summary

Three key findings point to a \$140M addressable revenue opportunity

FINDING 1

Online penetration at 8% vs. 23% industry average

Meridian's digital channel lags peers by 15pp, representing significant untapped demand from existing customer base and new digital-native segments.

FINDING 2

\$140M addressable revenue gap identified

Bottom-up analysis of SKU-level demand, cross-sell uplift, and category expansion yields a conservative \$140M incremental revenue opportunity over 3 years.

FINDING 3

18-month payback on \$12M platform investment

Phased investment approach mitigates risk while accelerating time-to-value through iterative releases and early revenue capture from high-margin digital channels.

REVENUE OPPORTUNITY

\$140M

3-year addressable gap

\$12.0M

Total Investment

340% expected ROI

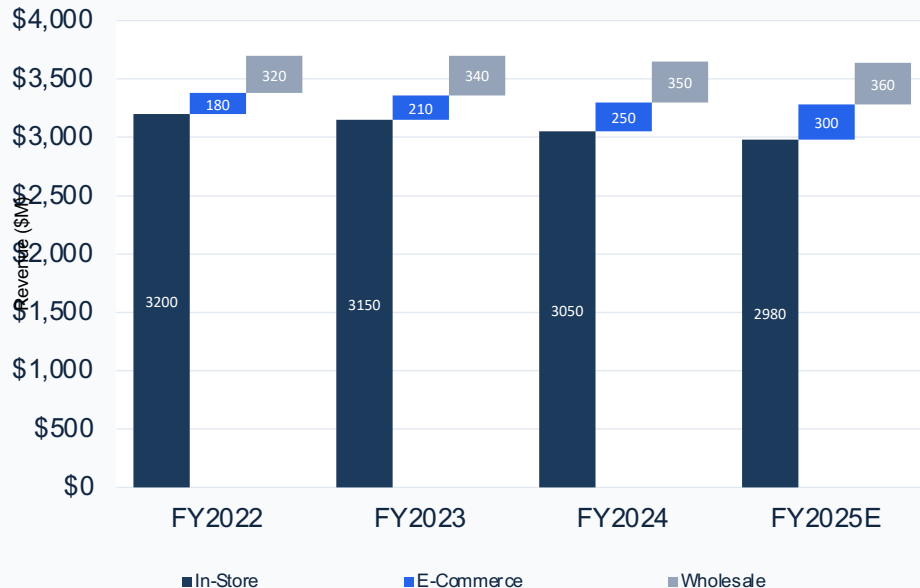
18 mo.

Payback Period

Phased approach

Current State Assessment

Revenue concentration in physical retail creates vulnerability to digital disruption



Key Challenges

Declining Foot Traffic

Same-store visits down 12% YoY; suburban malls underperforming

Legacy Technology

20-year-old POS system; no unified inventory; manual fulfillment

Customer Data Gaps

No single customer view; CRM covers only 34% of transactions

Talent Deficit

Zero in-house digital product or engineering capability

Margin Pressure

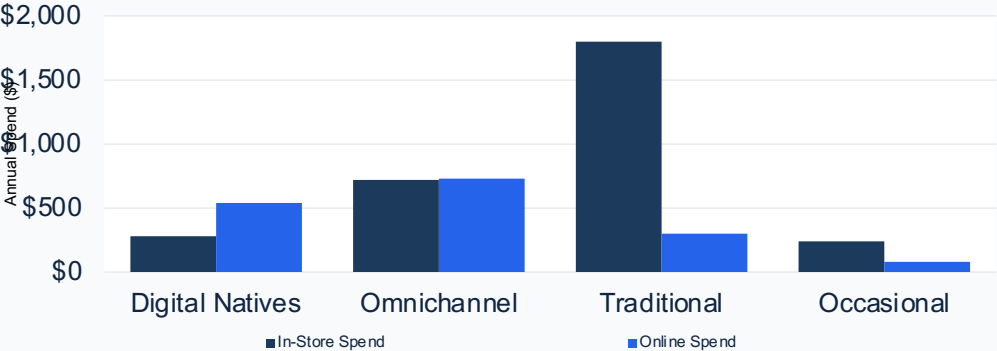
Occupancy costs rising 3% annually; digital margin 2x physical

E-commerce at 8% of revenue vs. 23% industry average = 15pp gap

Customer Segmentation Analysis

Four distinct segments with differentiated digital propensity and lifetime value

Digital Natives	Omnichannel Shoppers	Traditional Loyalists	Occasional Browsers
18-34 yrs	25-50 yrs	45-65 yrs	All ages
LTV	LTV	LTV	LTV
\$820	\$1,450	\$2,100	\$320
Revenue %	Revenue %	Revenue %	Revenue %
42%	31%	18%	9%
Digital Propensity	Digital Propensity	Digital Propensity	Digital Propensity
High	High	Medium	Low



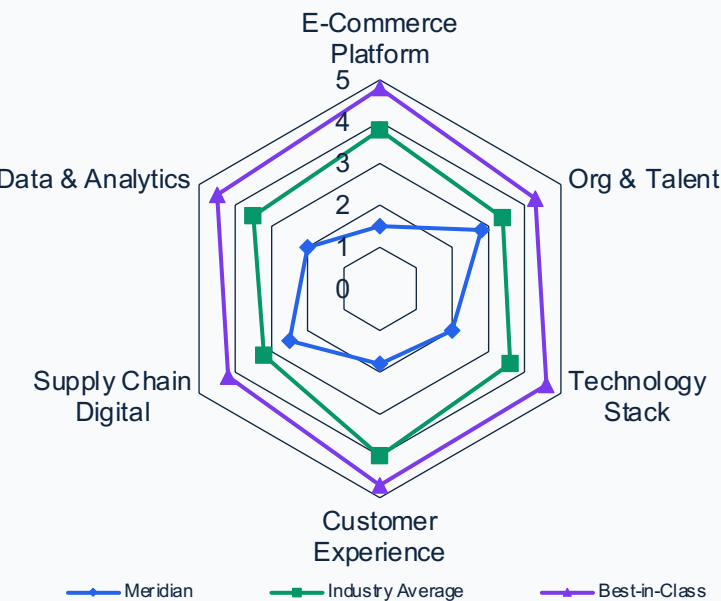
Key Insight

73% of Digital Natives and Omnichannel Shoppers express willingness to increase spend through a quality e-commerce experience. Combined, these segments represent \$68M in addressable annual online revenue.

Traditional Loyalists show 2.6x higher LTV — converting even 15% to omnichannel would yield \$9.5M incremental annual revenue.

Digital Maturity Scorecard

Meridian scores 2.1/5.0 across six critical digital capability dimensions



Dimension	Meridian	Industry	Best	Gap
E-Commerce	1.5	3.8	4.8	-2.3
Data & Analytics	2.0	3.5	4.5	-1.5
Supply Chain	2.5	3.2	4.2	-0.7
Customer Exp.	1.8	4.0	4.7	-2.2
Technology	2.0	3.6	4.6	-1.6
Org & Talent	2.8	3.4	4.3	-0.6
Overall	2.1	3.6	4.5	-1.5

Largest gaps in E-Commerce Platform (-2.3) and Customer Experience (-2.2) — priority investment areas

Competitive Landscape Analysis

Meridian significantly trails peers across all digital commerce dimensions

Company	Revenue	Digital %	YoY Growth	Mobile %	NPS	CSAT	Delivery	Position
Nordstrom	\$14.9B	38%	+18%	62%	72	4.2	2-day	Leader
Macy's	\$23.1B	33%	+15%	58%	65	3.9	2-day	Leader
Kohl's	\$16.6B	28%	+12%	51%	58	3.7	3-day	Challenger
Dillard's	\$6.8B	15%	+8%	38%	52	3.5	5-day	Follower
JCPenney	\$7.6B	22%	+10%	44%	48	3.4	4-day	Follower
Meridian	\$3.6B	8%	+2%	22%	38	3.1	7-day	Laggard

Meridian ranks last in digital penetration (8%) — 25pp below peer median of 33%

NPS of 38 is 24 points below peer average — primary driver is poor online experience

7-day delivery vs. 2-day peer standard creates 3.5x higher cart abandonment rate

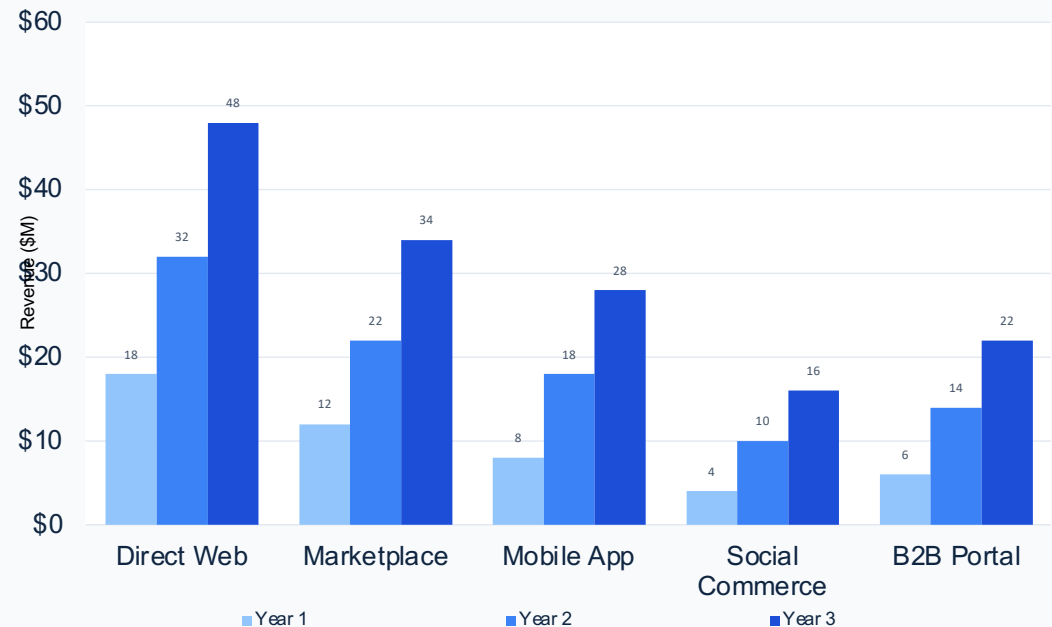
SECTION 02

Opportunity Analysis

Quantifying the revenue opportunity across channels, customer journeys, and product categories

Revenue Opportunity by Channel

E-commerce platform expected to capture \$140M in incremental revenue within 3 years



Year 1: \$48M

Year 2: \$96M

Year 3: \$148M

Channel Economics

Direct Web

Highest margin, owned channel

68% margin

Marketplace

Volume driver, lower margin

42% margin

Mobile App

Best engagement, highest LTV

71% margin

Social Commerce

Emerging, brand-building

38% margin

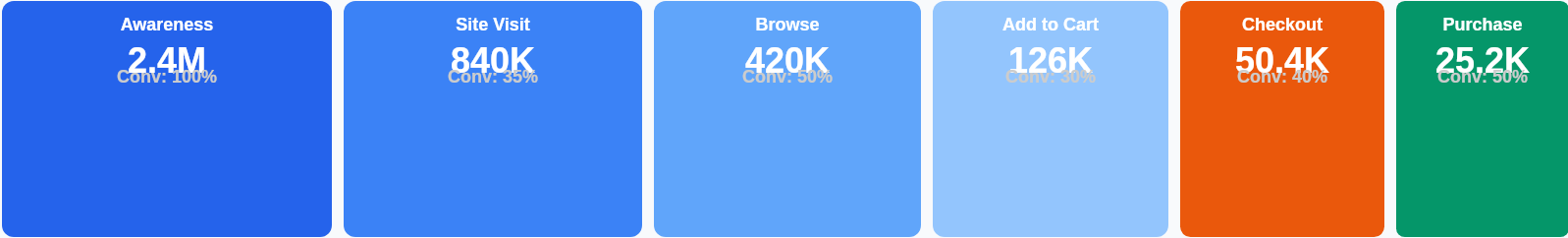
B2B Portal

Enterprise client focus

55% margin

Customer Journey & Conversion Analysis

Funnel analysis reveals 3 critical drop-off points with combined \$42M annual revenue leakage



Drop-off #1: Awareness to Visit

65% loss rate

Weak SEO, no paid search, limited brand awareness in digital channels. Peer avg: 45% loss.

\$18M annual impact

Drop-off #2: Browse to Cart

70% loss rate

Poor product discovery, no personalization, slow page loads (6.2s vs. 2.1s peer avg).

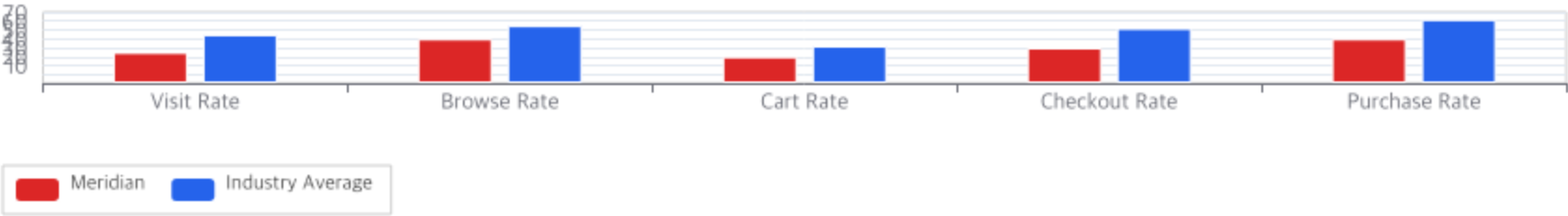
\$14M annual impact

Drop-off #3: Cart to Purchase

80% loss rate

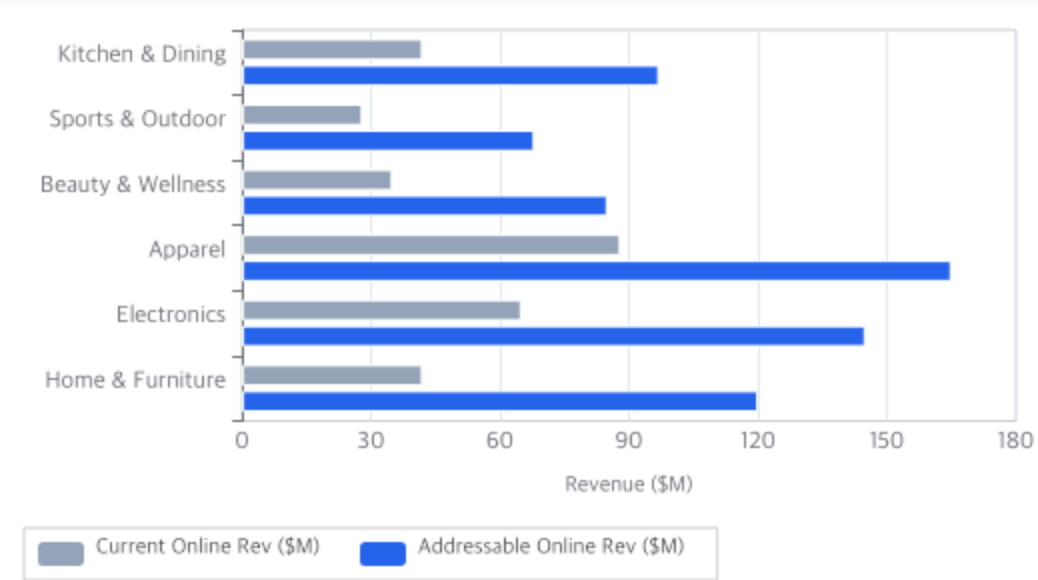
Complex checkout (7 steps vs. 3 peer avg), limited payment options, no guest checkout.

\$10M annual impact



SKU-Level Demand Analysis

Product category analysis reveals highest online demand in Home & Furniture and Electronics



Category	Gap (\$M)	Online %	Priority
Home & Furn.	\$78M	12%	High
Electronics	\$80M	18%	High
Apparel	\$77M	22%	Medium
Beauty	\$50M	14%	High
Sports	\$40M	10%	Medium
Kitchen	\$55M	15%	Medium

Top 3 categories (Home, Electronics, Beauty) represent \$208M in addressable revenue and have the highest digital demand elasticity.

Cross-sell & Upsell Potential

Personalization engine could drive 18-24% increase in average order value

\$127

Current AOV

vs. \$168 peer avg

+24%

AOV Uplift Target

With personalization

\$22M

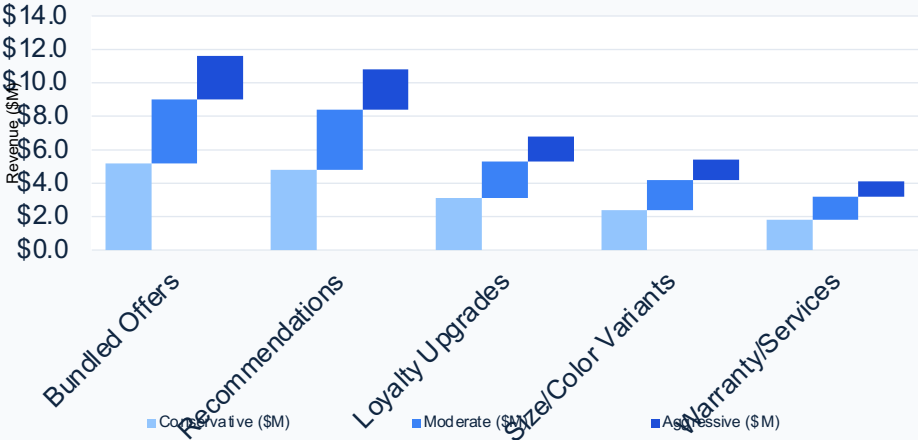
Annual Revenue Impact

From AOV increase alone

2.1x

Cross-sell Ratio

vs. 3.4x industry avg



Personalization Strategy

Collaborative Filtering

"Customers who bought X also bought Y" — drives 35% of Amazon revenue

\$8.4M

Dynamic Bundling

AI-powered bundle creation based on basket analysis and margin optimization

\$6.2M

Behavioral Triggers

Browse abandonment, wishlist reminders, price drop alerts via email/push

\$4.1M

Loyalty Tiering

Spend-based tiers with exclusive access, early drops, and personalized offers

\$3.5M

SECTION 03

Strategic Recommendation

Defining the optimal path forward: strategy, roadmap, technology, and organization

Strategic Options Assessment

Three options evaluated on NPV, risk, speed-to-market, and organizational readiness

OPTION A: BUILD	OPTION B: PLATFORM+	OPTION C: OUTSOURCE
Custom-built e-commerce platform on microservices architecture	Composable platform (Shopify Plus + headless CMS) with custom integrations	Fully managed marketplace solution via third-party operator
•Full control & differentiation •18-24 month build time •Higher ongoing cost (\$4M/yr) •Significant talent risk •Best long-term flexibility	•6-month time to MVP •Balanced cost (\$2.1M/yr) •Lower execution risk •Proven at scale (peers) •Extensible architecture	•Fastest launch (3 months) •Lowest upfront cost (\$1.2M/yr) •Limited customization •Revenue share drag (12-18%) •No data ownership
NPV (3yr) Risk	NPV (3yr) Risk	NPV (3yr) Risk
\$42M High	\$68M Medium	\$28M Low
	RECOMMENDED	

Option B delivers highest risk-adjusted NPV (\$68M) with 6-month time to first revenue

Recommended Strategy: Composable Commerce Platform

Phased approach balances speed-to-market with long-term flexibility and data ownership

Platform Foundation

Shopify Plus headless with custom React storefront and composable microservices

Data-Led Growth

CDP integration, real-time personalization, ML-driven product recommendations

Omnichannel Integration

Unified inventory, BOPIS, ship-from-store, and same-day delivery capabilities

Org Transformation

Dedicated digital BU with product, engineering, data science, and growth teams

Strategic Rationale

- 1. Speed-to-market: MVP in 6 months captures \$18M Year 1 revenue that Build option would miss entirely
- 2. Data ownership: Unlike Outsource, Meridian retains full customer data and analytics capability
- 3. Cost efficiency: \$2.1M/yr run rate vs. \$4M (Build) while maintaining 90% of customization capability
- 4. Proven model: Nordstrom, Allbirds, and Glossier all use composable architecture at comparable scale
- 5. Risk mitigation: Phased rollout allows course correction; no big-bang deployment risk

Success Metrics (18-month targets)

Metric	Current	Target	Delta
Online Revenue	\$300M	\$440M	+47%
Digital Penetration	8%	14%	+6pp
Conversion Rate	1.1%	2.8%	+1.7pp
Average Order Value	\$127	\$158	+24%
NPS	38	58	+20

Implementation Roadmap

Three-phase approach delivers incremental value while managing execution risk

PHASE 1: FOUNDATION

Months 0-6 | \$3.2M

- Platform selection & procurement
- Core team hiring (12 FTEs)
- Data migration & API architecture
- Payment gateway integration
- Fulfillment partner onboarding

MVP: Top 500 SKUs Live

PHASE 2: LAUNCH & GROW

Months 6-12 | \$5.1M

- Full catalog (5,000+ SKUs)
- Digital marketing ramp (\$1.2M)
- Marketplace integration
- Mobile app launch (iOS + Android)
- Customer analytics platform

Target: \$48M Run Rate

PHASE 3: SCALE

Months 12-18 | \$3.7M

- B2B portal launch
- Social commerce integration
- International expansion (CA, UK)
- Advanced personalization (ML)
- Same-day/BOPIS fulfillment

Target: \$140M+ Run Rate

Total Investment: **\$12.0M**

Expected ROI: **340% over 3 years**

Break-even: **Month 18**

Technology Architecture

Composable, API-first architecture enables rapid iteration and future extensibility

PRESENTATION LAYER

React Storefront

Next.js SSR, headless CMS

Mobile Apps

React Native, shared components

POS Integration

In-store kiosks, clienteling

Marketplace Feeds

Amazon, eBay, Google Shopping

API GATEWAY | GraphQL Federation | Rate Limiting | Auth (OAuth 2.0 + OIDC)

COMMERCE SERVICES

Shopify Plus

Catalog, cart, checkout

OMS

Order routing, fulfillment

Search & Discovery

Algolia, faceted search

Personalization

CDP + ML recommendations

DATA PLATFORM | Snowflake DWH | Segment CDP | dbt Transforms | Looker BI

INFRASTRUCTURE

AWS (Primary)

ECS, RDS, ElastiCache, S3

Vercel Edge

CDN, SSR, edge functions

Monitoring

Datadog APM, PagerDuty

Security

WAF, DDoS, PCI DSS L1

Organizational Design & Talent Plan

Dedicated Digital Commerce business unit with 42 FTEs at full scale

VP, Digital Commerce
Reports to CEO | Hired Month 1

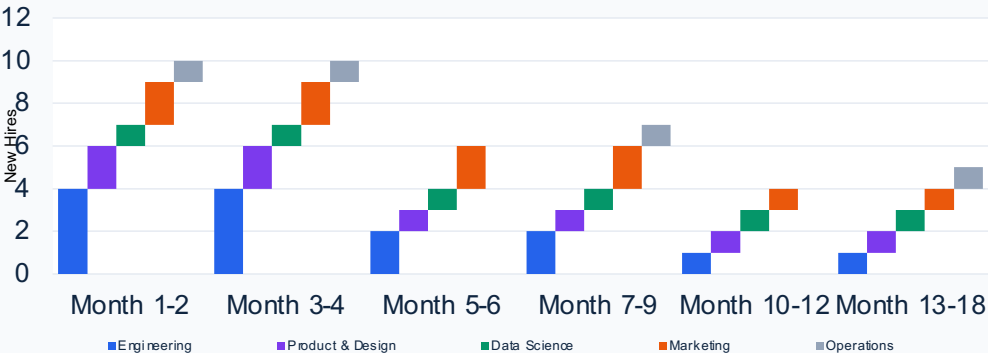
Engineering
14 FTEs

Product & Design
8 FTEs

Data Science
6 FTEs

Growth Marketing
10 FTEs

Operations
4 FTEs



Annual Talent Cost at Scale

Function	FTEs	Avg Comp	Total
Engineering	14	\$185K	\$2.6M
Product & Design	8	\$160K	\$1.3M
Data Science	6	\$175K	\$1.1M
Marketing	10	\$130K	\$1.3M
Operations	4	\$120K	\$0.5M

SECTION 04

Financial Case

Investment requirements, revenue projections, sensitivity analysis, and risk mitigation

Investment Requirements

\$12.0M total investment across three phases with front-loaded technology and talent spend

Category	Phase 1	Phase 2	Phase 3	Total
Technology & Platform	\$1.2M	\$0.8M	\$0.5M	\$2.5M
Talent & Hiring	\$0.8M	\$1.8M	\$1.4M	\$4.0M
Marketing & Growth	\$0.4M	\$1.2M	\$0.8M	\$2.4M
Data & Analytics	\$0.3M	\$0.5M	\$0.4M	\$1.2M
Operations & Logistics	\$0.3M	\$0.5M	\$0.4M	\$1.2M
Contingency (5%)	\$0.2M	\$0.3M	\$0.2M	\$0.7M
TOTAL	\$3.2M	\$5.1M	\$3.7M	\$12.0M



Key Investment Highlights

Talent is the largest investment category (33%) — reflects the critical need to build in-house digital capability

Phase 2 is the peak spend period (\$5.1M) driven by marketing ramp and full team hiring

5% contingency reserve (\$0.7M) protects against scope changes and vendor cost overruns

Three-Year Revenue & Profitability Projection

Digital commerce reaches profitability in Month 14 with \$52M cumulative profit by Year 3



P&L (\$M)	Year 1	Year 2	Year 3
Gross Revenue	\$48	\$96	\$148
COGS (40%)	(\$19)	(\$38)	(\$59)
Gross Profit	\$29	\$58	\$89
Operating Exp.	(\$30)	(\$38)	(\$47)
EBITDA	(\$1)	\$20	\$42
EBITDA Margin	-2%	21%	28%
Cum. Cash Flow	(\$4.2)	\$12.6	\$52.2



Sensitivity Analysis

Investment remains NPV-positive across all scenarios; downside case still achieves 18-month payback

Scenario	Y3 Revenue	Y3 EBITDA	NPV	IRR	Payback	ROI	Probability
Bull Case	\$185M	\$58M	\$94M	82%	14 mo.	480%	20%
Base Case	\$148M	\$42M	\$68M	64%	18 mo.	340%	55%
Bear Case	\$105M	\$24M	\$38M	42%	22 mo.	180%	20%
Worst Case	\$72M	\$8M	\$12M	18%	28 mo.	65%	5%

Key Assumptions

- Base case conversion: 2.8% (vs. 1.1% current)
- Base case AOV: \$158 (vs. \$127 current)
- Customer acquisition cost: \$32 (industry: \$38)
- Annual digital marketing spend: \$2.4M at scale
- Gross margin: 60% blended across channels

Sensitivity Drivers (Impact on NPV)

Driver	-20%	-10%	+10%	+20%
Conversion Rate	-\$22M	-\$11M	+\$11M	+\$22M
AOV	-\$16M	-\$8M	+\$8M	+\$16M
CAC	-\$8M	-\$4M	+\$4M	+\$8M

Risk Assessment & Mitigation Plan

Eight key risks identified with specific mitigation strategies and risk owners

#	Risk	Impact	Prob.	Mitigation Strategy	Owner	Status
1	Platform Delivery Delay	High	Medium	Agile methodology, 2-week sprints, vendor SLA with penalties, parallel workstreams	VP Digital	Mitigating
2	Talent Acquisition	High	High	Retained search firms, competitive comp (75th pctile), remote-first policy, signing bonuses	CHRO	Active
3	Legacy Integration	High	Medium	API-first architecture, middleware layer, phased migration, parallel run period	CTO	Planning
4	Customer Adoption	Medium	Medium	Soft launch with loyalty members, incentive migration offers, UX testing (200+ users)	CMO	Planning
5	Competitive Response	Medium	High	Differentiated CX, exclusive brands, loyalty moat, first-mover in underserved segments	CSO	Monitoring
6	Data Security Breach	Critical	Low	PCI DSS L1 compliance, SOC 2 Type II, penetration testing, incident response plan	CISO	Mitigating
7	Budget Overrun	Medium	Medium	5% contingency reserve, monthly financial reviews, phase-gate approvals, vendor fixed pricing	CFO	Mitigating
8	Change Management	Medium	High	Executive sponsor, dedicated change lead, training program, internal comms campaign	COO	Planning

Next Steps

1. Board alignment on strategic direction and investment approval (March 7)
2. VP, Digital Commerce search kick-off with retained firm (March 15)
3. Platform vendor shortlist and RFP issuance (April 1)
4. Detailed Phase 1 project plan and budget sign-off (April 15)
5. Program kick-off and weekly SteerCo cadence begins (May 1)

Thank You

Questions? Contact the project team at digital-transformation@meridianretail.com